

inflation and its effects on investors.

Inflation has not been a serious problem for years now. But investors tend to prepare for yesterday's battles, which Buffett acknowledges.

"While investors and managers must place their feet in the future, their memories and nervous systems often remain plugged into the past," Buffett wrote in 1981.

This reminds me of Peter Lynch's example from Mayan mythology. A great flood destroyed the world. So, the Mayans moved to higher ground in the woods. Then fire destroyed the world. So they moved away from the woods and built houses of stone. Then came an earthquake. ...

Inflation was high in the late 1970s and was a real problem for businesses and investors. It was something new, and people were slow to take in what it meant.

What it meant was that a 20 percent return was not really a 20 percent return, but could actually be negative after inflation and taxes — the

"investor's misery index," as Buffett called it.

Buffett gave an analogy:

If you

- a. forego ten hamburgers to purchase an investment;
- b. receive dividends which, after tax, buy two hamburgers;
and
- c. receive, upon sale of your holdings, after-tax proceeds that will buy eight hamburgers, then
- d. you have had no real income from your investment, no matter how much it appreciated in dollars.

You may feel richer, but you won't eat richer.

He does not mince words about what those high inflation rates did to the returns of Berkshire. In the 1981 letter, he wrote about how inflation made Berkshire's "apparently satisfactory results ... illusory as a